

Company Overview

Cipla is engaged in the Business of Pharmaceuticals.(Source : 202003 Annual Report Page No:157)

Key Financial Ratios Table

| Year | NPM % | ROE % | D/E  | Interest Coverage | Asset Turnover | FCF (Cr) |
|------|-------|-------|------|-------------------|----------------|----------|
| 2024 | 16.1% | 15.6% | 0.02 | 35.3              | 0.79           | 1152.0   |
| 2023 | 12.5% | 12.1% | 0.03 | 60.6              | 0.78           | 862.0    |
| 2022 | 11.7% | 12.2% | 0.05 | 174.1             | 0.81           | 1468.0   |
| 2021 | 12.5% | 13.0% | 0.11 | 56.1              | 0.77           | 1381.0   |
| 2020 | 8.8%  | 9.5%  | 0.18 | 40.5              | 0.73           | 3182.0   |
| 2019 | 9.1%  | 9.9%  | 0.29 | 27.8              | 0.69           | 3.0      |
| 2018 | 9.3%  | 10.0% | 0.29 | 44.1              | 0.67           | 629.0    |
| 2017 | 7.2%  | 8.3%  | 0.33 | 57.3              | 0.69           | 1078.0   |
| 2016 | 10.0% | 12.0% | 0.45 | 54.5              | 0.66           | -2792.0  |
| 2015 | 10.8% | 11.4% | 0.16 | 56.1              | 0.72           | 223.0    |

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## Qualitative Investment Insights

### Strengths (Pros):

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

### Risks & Concerns (Cons):

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility